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Blog

Utility Companies Resistant to Solar Panel Era

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In the late 1800s, America was at a crossroads at the dawn of the electrical age, and a war raged between two distribution methods for electricity. The country needed to decide on a national standard to adopt. Thomas Edison presented grand plans for a direct current system. DC had potential, and Edison proved that by powering large energy-hungry factories with his electrical current.

A competing system built years later on an alternating current solved DC's greatest weakness: Range. AC could transmit energy well over a mile away, which meant AC could reach towns that were further from the power plant.

For reference, in 1892 Chicago, there were "more than (<http://s.si.edu/1FpFK2s>) twenty companies producing electricity." During this time, the electrical grid that we all use to this day was being rapidly constructed. It may surprise you just how much of that 100+ year old infrastructure remains to this day. But over the decades, competition dried up and left a single company in most markets to distribute electricity.

For as long as anyone reading this article can remember, we would just get our power from the electric utility company and give it nary a second thought. There would be no choice in the matter. You'd call the same number as everyone in your town and you'd get connected to that 100 year old grid.

Like everybody else.

But now, you have a choice. Now, you can generate your own power. Now, you can even sell it back to the utilities using that same 100 year old infrastructure. And now, the utilities are irate.

In a sense, the utilities have a right to be mad. The lumbering giant survived a century with zero competition and zero need to improve what was working just fine for a hundred years. But just how resistant are these companies to the advent of the independent solar power revolution?



Undervalued Net Metering

Opponents of net metering, the process of selling energy back to the energy company, are quick to say that solar is destroying the grid. Some might say non-solar-panel-equipped utility customers are forced to subsidize the net metering program by paying a higher price (<http://bit.ly/1Lly-Ja2>) for their energy. And others are resolute in their stance that when a large number (<http://bit.ly/1iJ6gdF>) of people go solar, the net metering programs are not sustainable.

In reality, net metering will not destroy the grid. Recent studies have gone so far as to say that net metering can actually benefit utility customers as many net metering programs can be used in a way to serve nearby customers. This program can help smooth out supply and demand, by keeping utility customers insulated from fluctuations in the cost of fossil fuel energy. “Thereby reducing financial risks and saving money for all grid users,” reports (<http://bit.ly/1MEUBZA>) Derek Markham of CleanTechnica.

When those studies reported that utilities can use customer-generated solar power as a resource, it is not to say that many actually are. Most utilities view solar energy producing customers similar to those that install energy efficient appliances or light bulbs; not as a resource (<http://bit.ly/1LOWBLK>) that can be tapped to help neighboring utility customers.

Fear of Change

The reasons for utility companies across America to dismiss independent energy generation and distribution are not presented in any official capacity but it’s hard not to assume that it’s fear.

Consider the future of community driven power generation and distribution. Think about the expensive power plants that may no longer be needed. “They have trillions of dollars invested in generating plants, transmission lines, sub-stations, and transformers, and they are scared to death they are not going to be able to amortize that investment,” says (<http://bit.ly/1LlyWdo>) Steve Hanley of Solar Love.



Sluggish Upgrades

The future is smart and interconnected. Lumbering giant utility companies with zero competition are not going to change until absolutely necessary. Unfortunately, energy is something that is always required so it's not like ComEd or LADWP can just shut down for a few days as they renovate and upgrade their operation.

This means that changes, even ones desperately needed, come slow. Slow like thick molasses. But we're in the age of instantaneous. A split second of lag on your phone is insufferable, yet we are forced to wait while the purveyor of one of life's necessities ignores the wave of technological innovation that's gripped much of the rest of our lives.

Upgrades to the grid and the technologies used to deliver energy to utility customers are desperately needed. In addition, the utilities' entire business model could use with a much needed updating and streamlining. Solar is changing the question from 'if' to 'when' the utility companies will see the light. And that day is likely coming soon since solar panel adoption is skyrocketing (<http://bit.ly/1itjzhn>) across the globe.

Takeaway

Studies are now getting released regularly that shed light on the truth of the future of energy production. Solar power is the future. And, as scared as the utility companies might be to see their control diminish, this shift to individual and community led energy generation is tough to sell as anything but the way forward.

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